

calling my mom and saying, “My friend Andy is making a fortune, and I can’t seem to make a dime.” She said, “Oh, then just do what he does.”

What exchange were you trading on?

I was originally on the CBOE trading options on stocks, such as Chrysler and Revlon. Then they moved me over to the New York Stock Exchange to trade the index, the NYA, which is where I was at the time of the 1987 crash. In 1988, I went to the Amex to trade the XMI, the major market index, which is an index based on 20 blue-chip stocks.

Did you trade on the day of the crash?

Yes, I came in short . . .

Wow, that’s great.

No, I came in short straddles.¹ I was short 20 calls and 20 puts.

Oh my God, that drastically changes the picture.

What was ironic about that day is that not only did the puts skyrocket as the market crashed, but the calls also went up because volatility exploded. So I was losing money on both sides of the trade. The account went from somewhere around \$25,000 to a deficit in a matter of hours. I was frozen. I called Steve Fossett to ask him what I should do. He said, “Stay on the bid; you’ll get it.” The market just kept falling, and I panicked and bought back my puts. I kept the calls. It didn’t make sense to me that the calls should be way up when the Dow was down 500 points. I covered the calls a couple of days later.

Where was the account when you covered the puts?

It was probably in deficit around \$10,000. This was not a big amount, but if you lose all your money, it doesn’t make a difference if it’s \$20,000 or \$1 million. I thought I was done. After I got out of my puts, I left the floor. I remember walking around Wall Street in a daze. There was a reporter from one of the local TV stations who asked me, “Can you give us a comment?” All I could say was, “This is unbelievable.” That quote actually made it onto TV.

Yes, I remember that day well. Even 2008 paled by comparison because in 1987 virtually the entire move happened in one day.